loans.

Some Fannie and Freddie programs have income limits, so if you earn an above-average salary by the standards of the area where you want to buy, you may not qualify for certain loans. For the latest about these programs and what they currently offer, ask a lender or go to www.fanniemae.com (800-732-6643) and www.freddiemac.com (800-FREDDIE).

- **Get state or local housing agency assistance.** One of the best-kept secrets of home buying is the special mortgage deals offered by state and local housing agencies to first-time home buyers. The reason you've probably never heard of these programs is that they're not advertised much. The interest rates on the mortgages they offer tend to be lower than bank rates, saving you hundreds of dollars a month on your mortgage payments. They may also be able to help you with your down payment.

  Details vary from state to state—some housing agencies have income limits, dollar limits, or geographic restrictions, for example. Typically, you can participate in the program if your income is no more than the county or state's median household income and the home you want to purchase costs slightly less than the area's average price. But some states will accommodate you with a different program if your income (or house price) is too high to qualify. And certain states have special programs to assist people in particular professions. California, for example, has a program called "Extra Credit" to help eligible teachers buy homes.

  For more information about your own state housing agency, check out the site of the National Council of State Housing Agencies at www.ncsha.org or call 202-624-7710. There's also a chart on the following pages listing state agency contact information. When you call, say that you're a first-time home buyer looking for a mortgage and ask for a list of lenders that participate in state programs.

- **Get a loan under the Community Reinvestment Act (CRA).** It pays to check with banks in the area in which you